

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**RESPONDENT CMA CGM S.A.'S OPPOSITION BRIEF,
PROPOSED FINDINGS OF FACT, AND APPENDIX**

PREPARED BY:

W. Ryan Snow, Esq. (VSB No. 47423)
K. Barrett Luxhoj, Esq. (VSB No. 86302)
CRENSHAW, WARE & MARTIN, PLC
150 West Main Street, Suite 1923
Norfolk, Virginia 23510
Telephone: (757) 623-3000

B. Jason Barlow, Esq. (VSB No. 80105)
C. Wiley Grandy, Esq. (VSB No. 82154)
Chelsea C. Crews, Esq. (La. Bar No. 38176)
CMA CGM (America) LLC
1 CMA CGM Way
Norfolk, VA 23502
Counsel for Respondent CMA CGM S.A.

TABLE OF CONTENTS

I.	INTRODUCTION	4
II.	BACKGROUND	5
III.	PROCEDURAL HISTORY	6
IV.	LEGAL AUTHORITY	7
V.	ARGUMENT	8
	A. Complainants failed to comply with the Revised Scheduling Order.	8
	B. Complainants are not direct purchases from CMA.....	8
	C. Alternatively, Complainants have not established, nor produced any evidence, to substantiate a violation of the Shipping Act.	10
	1. Complainants have failed to demonstrate any violation of 46 U.S.C. § 41102(c). 10	
	2. Complainants have not met their burden to prove a violation of 46 U.S.C. § 41104(a)(10).	11
	D. The opinion of Complainants’ expert is unreliable and should be excluded.	11
	E. Complainants’ claims are precluded under bankruptcy law.	14
VI.	CONCLUSION AND PRAYER FOR RELIEF	14
	CERTIFICATE OF SERVICE.....	15

TABLE OF AUTHORITIES

Cases

<i>Daubert v. Merrell Dow Pharmaceuticals, Inc.</i> , 509 U.S. 579, 589-591(1993)	4, 12
<i>Evergreen Shipping Agency (Am.) Corp. v. FMC</i> , 106 F.4th 1113, 1118 (D.C. Cir. 2023). 4, 8, 13	
<i>In re Vehicle Carrier Services</i> , 1 F.M.C.2d 440, 454 (FMC Oct. 21, 2019)	4, 9
<i>Krystal Cadillac-Oldsmobile GMC Truck, Inc. v. GMC</i> , 337 F.3d 314, 322 (3d Cir.2003)	4, 14
<i>MAVL Capital Inc., Iamal Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics Inc. and Dimitry Alper</i> , 2 F.M.C.2d 198, 207 (FMC Oct. 29, 2020)	4, 8, 11
<i>Oneida Motor Freight, Inc. v. United Jersey Bank</i> , 848 F.2d 414, 415 (3d Cir. 1988).....	4, 14
<i>Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.</i> , 989 F.2d 570, 571 (1st Cir. 1993)	4, 14
<i>TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.</i> , 2022 WL 18068977 at *7 (FMC Dec. 29, 2022)	4, 7, 13

Statutes

11 U.S.C. § 521	3, 4, 14
46 U.S.C. § 41102(c)	4
46 U.S.C. § 41104(a)(10).....	7, 11
46 U.S.C. § 41305(b)	4, 8

Rules

Fed. R. Evid. 403	13
Fed. R. Evid. R. 702.....	4, 12

Regulations

46 C.F.R. 545.4	4, 7, 8
46 C.F.R. 502.141(d)(2).....	4, 12
46 C.F.R. 502.204(a).....	4, 8, 13
46 C.F.R. 502.254	4, 15

RESPONDENT’S OPPOSITION BRIEF

Pursuant to the Revised Scheduling Order of the Commission, CMA CGM. S.A. (“Respondent” or “CMA”) submits its Opposition Brief, Respondent’s Proposed Findings of Fact (“RPFFs”), and Respondent’s Appendix (“RX”).¹

I. INTRODUCTION

Under the Revised Scheduling Order, Complainants were required to file their Opening Brief, Proposed Findings of Fact, and Appendix on or before September 4, 2024. They failed to meet this obligation.

In compliance with the Revised Scheduling Order – and mindful that “motions and settlement discussions will not automatically delay other deadlines in the proceeding” (FMC Doc. 10) – CMA has proceeded with filing its Opposition Brief. **Thus, CMA reserves the right to amend and supplement this Opposition Brief, its Proposed Findings of Fact, and Appendix should additional discovery be undertaken or if Complainants are subsequently allowed to file their own brief.**

Complainants allege Shipping Act violations and seek reparations, claiming CMA violated 46 U.S.C. § 41102(c) and § 41104(a)(10). However, as indirect purchasers, they lack standing and cannot cure this through any assignment due to explicit prohibitions in CMA’s service contracts. Additionally, Complainants’ failure to disclose this case in a Chapter 11 bankruptcy, as required by 11 U.S.C. § 521, bars them from proceeding under judicial estoppel. Alternatively, given the lack of any evidence that CMA acted unreasonably or caused damages, Complainants’ claims are meritless, and the Complaint should be dismissed with judgment for CMA.

¹ The Respondent’s filing is framed as an opposition brief, even though Complainants did not submit the required opening brief—typically a prerequisite for such a filing—and the deadline for Complainants’ submission has passed (September 4, 2024).

II. BACKGROUND

This case arises out of a number of shipments carried on CMA vessels in 2021 and 2022. Compl. ¶ 13. Non-party Laufer Group International, Ltd. (“Laufer”) booked the shipments with CMA, allegedly acting as a “freight forwarder.” *Id.* Complainants assert that Laufer charged them demurrage, detention, per diem, and storage fees that were unreasonably high, which they believe originated with CMA. *Id.* ¶ 16. Critically, however, Complainants admit they contracted with Laufer, not CMA, for *all* the shipments. *Id.* ¶ 13. Complainants also admit that Laufer, not CMA, invoiced them for *all* the charges they claim were unreasonable. *Id.*

Laufer was not actually a “freight forwarder” with respect to any of the shipments. Rather, Laufer arranged the shipments in its own name and for its own account as a Non-Vessel Operating Common Carrier (NVOCC) under service contracts with CMA (“Service Contracts”). RPFF12-14.

Every shipment at issue was booked under one of these Service Contracts, save for three. RPFF13 & 14. Of those three, two were booked by Laufer under CMA’s TA-IndaMex2021 tariff and one moved under a CMA service contract with another NVOCC, THI Group (Shanghai) Ltd. Regardless, in all instances, Laufer was the consignee on the bill of lading and was invoiced for and paid all charges. RPFF17.

Perhaps perceiving this flaw in their approach, in a single sentence without factual or legal support, Complainants argue, “[w]hile Laufer invoiced Supply Source for the Charges, it was simply *acting as a conduit* for the Charges that were sent by CMA.” Compl. ¶ 13 (emphasis added). In other words, Complainants allege that they have been injured not by their own contract, but by charges resulting from contracts between CMA and Laufer, which Laufer, in its discretion and in whatever amounts it deemed appropriate, decided to pass on to Complainants.

III. PROCEDURAL HISTORY

CMA has consistently acted within deadlines, underscoring the Complainants' lack of adherence to the FMC's Initial Order and Revised Scheduling Order.

Complainants filed their Complaint on February 14, 2024, and the FMC subsequently issued the Initial Order on February 29, 2024. FMC Doc. 1, 6. CMA responded promptly by filing its Answer on March 7, 2024. FMC Doc. 8. Following this, the original Scheduling Order was established on March 25, 2024, and on July 31, 2024, a Protective Order was entered to safeguard sensitive information. FMC Doc. 10, 13.

While pursuing this matter, Complainants are also involved in an ongoing Chapter 11 bankruptcy case (Case No. 24-bk-11055) filed on May 21, 2024, in the United States Bankruptcy Court for the District of Delaware. In their bankruptcy schedules, Complainants were obligated to disclose all assets, including this FMC matter and any assignment from Laufer, but failed to do so. RPFF8 & 9. On July 10, 2024, the Bankruptcy Court approved the sale of their assets to TZ SSE Buyer, LLC ("TZ SSE"). RPFF10. Under bankruptcy law, a debtor cannot pursue claims not disclosed as assets, making this FMC matter barred from further prosecution.

On August 5, 2024, the FMC issued a Revised Scheduling Order, setting September 4, 2024, as the deadline for Complainants to file their Opening Brief, Proposed Findings of Fact, and Appendix, with CMA's Opposition Brief due on October 18, 2024. FMC Doc. 15. CMA then filed a Motion to Dismiss on August 28, 2024, and Complainants filed a Motion to Compel on August 30, 2024. FMC Doc. 17, 18. That same day, CMA also filed a Motion to Exclude the Expert Opinions of John D. McCown. FMC Doc. 20.

Despite the clear deadlines set by the Revised Scheduling Order, Complainants neglected to submit their Opening Brief by September 4, 2024.

CMA filed a Supplemental Motion to Dismiss on September 9, 2024. FMC Doc. 21. Over the following weeks, both parties engaged in multiple filings: Complainants opposed CMA’s Motion to Exclude and Motions to Dismiss, respectively, while CMA responded with an opposition to Complainants’ Motion to Compel. FMC Docs. 22-26, 30.

In an effort to address their bankruptcy-related issues, Complainants sought leave to amend the Complaint and extend discovery—requests that CMA opposed on September 30, 2024. FMC Doc. 27, 29.

IV. LEGAL AUTHORITY

The Complaint alleges violations of both 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10). Under 46 U.S.C. § 41102(c), “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” To demonstrate a successful claim for reparations under 46 U.S.C. § 41102(c), a complainant must show:

- (1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary
- (2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (4) The practice or regulation is unjust or unreasonable; and
- (5) The practice or regulation is the proximate cause of the claimed loss.

TCW, Inc. v. Evergreen Shipping Agency (AM) Corp., 2022 WL 18068977 at *7 (FMC Dec. 29, 2022) citing 46 C.F.R. 545.4.

Complainants also allege a violation of 46 U.S.C. § 41104(a)(10), which states that a common carrier shall not “unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” To make a showing of such

violation, the complainant must demonstrate that: “(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.” *MAVL Capital Inc., Iamal Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics Inc. and Dimitry Alper*, 2 F.M.C.2d 198, 207 (FMC Oct. 29, 2020).

Further, it is well settled that a Shipping Act inquiry into charges for demurrage and detention must involve a “**fact-bound inquiry**” into the particulars of each transaction, including conditions at the terminal, conduct of the parties involved, and actual impact of any delays on the individual shipments in question. *See Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2023) (emphasis added).

V. ARGUMENT

A. Complainants failed to comply with the Revised Scheduling Order.

Complainants failed to meet the FMC’s September 4, 2024 deadline for submitting their Opening Brief as required by the Revised Scheduling Order. FMC Doc. 15. While Complainants later filed a motion requesting an extension of deadlines, this does not absolve them of their obligation to adhere to the schedule set by the FMC. FMC Doc. 18. The FMC has been explicit: “Motions and settlement discussions will not automatically stay other deadlines in the proceeding.” FMC Doc. 10. Complainants cannot excuse their noncompliance through a post hoc request to extend deadlines.

Therefore, the September 4, 2024 deadline remained binding, and Complainants failed to adhere to the requirements set forth in the Revised Scheduling Order.

B. Complainants are not direct purchases from CMA.

Only those who have suffered an “actual injury” from a violation of the Shipping Act may seek reparations. 46 U.S.C. § 41305(b). This principle has become known as the direct purchaser rule. “Under the direct purchaser rule, only the party who actually paid the carrier can sue for

reparations for an overcharge, not indirect purchasers further down the chain... ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” *TCW*, 2022 WL 18068977 at *7.

By their own admission, Complainants never directly paid CMA for anything. In fact, Complainants maintain the opposite, asserting in their Complaint that “[t]hroughout the relevant period . . . Laufer invoiced [Complainants] for the Charges.” Compl. ¶ 14. Complainants never received an invoice from CMA, nor did they provide any sort of payment to CMA. RPFF17, 21, & 22. CMA’s only contracts, completely undisclosed in the Complaint, were with Laufer (save for three instances where Laufer still paid all charges), and Laufer contracted with Complainants. RPFF12-16. These facts alone should end this case.

Complainants cannot save their claims by arguing that they ultimately paid the charges because Laufer passed the charges on to them. This FMC has repeatedly rejected such a pass-on argument. *See In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 454 (FMC Oct. 21, 2019) (“***the Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges***”) (emphasis added). The longstanding rule is that “parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.” *Id.* at 445. Complainants do not seek reparations for charges CMA billed to them, but instead, seek reparations for fees assessed by Laufer against them. Thus, Complainants cannot circumvent the direct purchaser rule by relying on a pass-on theory.

The Service Contracts between Laufer and CMA explicitly prohibit any assignment of rights or liabilities without CMA’s written consent. RPFF15. The “Essential Terms” of all five Service Contracts for the shipments at issue contain the same explicit prohibition against assignment without prior written consent of CMA:

27. ASSIGNMENT

A. Merchant may not assign this Contract, including any or all its rights or liabilities hereunder, or to otherwise permit any other person or entity, directly or indirectly to utilize services, rates, or other terms provided by Carrier hereunder, without the prior written consent of Carrier.

RPFF15. CMA never consented to Laufer assigning any of its “rights or liabilities” to anyone, much less Complainants. FMC Doc. 17, Ex. 7.

Therefore, Complainants are not direct purchasers, nor can they become direct purchasers due to the explicit assignment restrictions in the Service Contracts. As a result, Complainants cannot demonstrate that CMA’s actions directly caused their losses and thus fail to meet the requirements to establish a Shipping Act violation.

C. Alternatively, Complainants have not established, nor produced any evidence, to substantiate a violation of the Shipping Act.

1. Complainants have failed to demonstrate any violation of 46 U.S.C. § 41102(c).

Complainants allege a violation of 46 U.S.C. § 41102(c) in a single paragraph of their Complaint. *See* Pl.’s Compl. ¶ 28. To substantiate such a claim, Complainants must establish: that CMA is an ocean common carrier; the alleged acts occur routinely; the practice involves the receipt, handling, storage, or delivery of property; it is unreasonable; and it directly caused their alleged losses. *See TCW* 2022 WL 18068977 at *7. Complainants have failed to articulate these essential elements not only in their Complaint but also throughout their discovery responses and document productions. RX147-68.

As discussed above, Complainants cannot satisfy their burden under 46 U.S.C. § 41102(c) as they are not direct purchasers and cannot demonstrate that CMA’s actions were the proximate cause of any alleged loss. As outlined in CMA’s affirmative defenses, “Any damage[s] sustained by Supply Source were caused solely by the actions or fault of third parties for whom CMA is not

responsible, specifically the [NVOCC] Supply Source used to arrange each of the shipments.” *See* Answer, p.5.

2. Complainants have not met their burden to prove a violation of 46 U.S.C. § 41104(a)(10).

Complainants have also failed to provide sufficient allegations to support a claim that CMA violated 46 U.S.C. § 41104(a)(10). To establish a violation under this statute, complainants must demonstrate that CMA, as an ocean common carrier, unreasonably refused to negotiate. *MAVL Capital Inc.*, 2 F.M.C.2d at 207. The only reference to this cause of action in their Complaint is a vague assertion that: “CMA’s assessment of the Charges, and the alleged acts or omission of CMA that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate.” Pl.’s Compl. ¶ 49. This generalized statement falls far short of meeting the standard required to show a violation of 46 U.S.C. § 41104(a)(10).

Complainants never allege that they contacted CMA to negotiate the charges, and the record contains no evidence that they attempted to do so. FMC Doc. 1. All communications regarding the charges came solely from Laufer and were limited to clarifying questions, without any indication of negotiation on behalf of the Complainants. RPFF17-22, 27-29. Consequently, CMA could not have refused to negotiate with Complainants when they made no attempt to initiate any negotiation. As a result, Complainants cannot demonstrate that CMA unreasonably refused to negotiate, and they have thus failed to satisfy their burden of proof under 46 U.S.C. § 41104(a)(10).

D. The opinion of Complainants’ expert is unreliable and should be excluded.

On August 11, 2024, Complainants produced a brief 2 ½ page report from John D. McCown, which asserts that CMA acted unreasonably because the average of all demurrage and detention charges allegedly assessed against complainants exceeds an industry average listed on a single website. *See* FMC Doc. 20. However, Mr. McCown provides no methodology, specific

comparisons, or analysis of any individual shipment by CMA. *Id.* Instead, he simply states he is “prepared to be deposed and respond to any questions,” effectively shifting the burden and cost of clarifying his vague opinion onto CMA. *Id.*

The FMC applies the *Daubert* standard to evaluate the admissibility of expert opinions, requiring that testimony under Federal Rule of Evidence 702 is both reliable and relevant. In *Daubert v. Merrell Dow Pharmaceuticals, Inc.*, the Supreme Court emphasized that expert testimony must be based on 'scientific knowledge' and must 'assist the trier of fact' in understanding or determining a fact at issue. 509 U.S. 579, 589-591(1993). Additionally, Rule 702 mandates that an expert be qualified to render their opinion. Fed. R. Evid. R. 702.

Mr. McCown’s opinion does not meet the *Daubert* standard. It lacks a clear basis and fails to provide the “facts or data” required by 46 C.F.R. 502.141(d)(2). Mr. McCown disregards specific facts and data about the shipments in question, neglecting the unique details and operational realities of each. Rather than a reliable analysis, Mr. McCown’s opinion relies solely on two generalized global averages to claim that all of CMA’s charges were unreasonable. Critically, he fails to provide key details about these figures—such as the specific ports, shipping lines, or regions they represent—and neglects significant regional differences, like the higher costs typical at U.S. ports. As a result, Mr. McCown’s comparison is based on vague, unverifiable, and potentially irrelevant data, rendering his conclusions unreliable.

Moreover, Mr. McCown’s analysis is based on an unreliable source—Container xChange’s website—which he misrepresents. The data Mr. McCown cites was collected through web scraping from only some major shipping lines and excludes key players like Maersk, one of the largest global carriers. Container xChange itself lists significant limitations to its data, none of

which Mr. McCown acknowledges. Consequently, his reliance on this incomplete and unreliable data undermines his conclusions.

Mr. McCown's opinion is also irrelevant to the FMC's analysis of detention and demurrage charges. FMC standards require evidence to be "relevant, material, reliable, and probative," while Rule 401 mandates that relevant evidence must make a fact more or less probable and be consequential to the case. 46 C.F.R. 502.204(a). Mr. McCown's opinion fails on both counts.

It is well settled that a Shipping Act inquiry into charges for demurrage and detention must involve a "circumstantial, fact-bound inquiry" into the particulars of each transaction, including conditions at the terminal, conduct of the parties involved, and actual impact of any delays on the individual shipments in question. *See Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2023).

Mr. McCown's report does none of this. As such, regardless of its reliability, it is unhelpful to the factfinder and irrelevant to this proceeding. What is more, if allowed, it presents a high likelihood of unfairly prejudicing CMA by exposing CMA to a profoundly improper comparison disguised as an expert opinion. *See, e.g., Fed. R. Evid. 403*. And perhaps worst of all, it will serve as a guidepost for future complainants seeking to avoid the rigors of individual proof required by *Evergreen*. Complaints will need only to calculate an average of a group of unrelated destination charges, then have a purported expert check whether that average is higher or lower than the averages on Container xChange's website. Respectfully, this Commission should not indulge that kind of artificial proof.

Because Mr. McCown's opinion is unreliable and irrelevant to the analysis required in this Commission, and because it presents a high risk of unfair prejudice if allowed, all of it should be excluded.

E. Complainants' claims are precluded under bankruptcy law.

Even if Complainants were able to make a proper showing of the alleged violations of the Shipping Act, this claim is estopped from further prosecution by bankruptcy law. Debtors are required to disclose all assets and liabilities including “any litigation likely to arise in a non-bankruptcy context.” 11 U.S.C. § 521; *Krystal Cadillac-Oldsmobile GMC Truck, Inc. v. GMC*, 337 F.3d 314, 322 (3d Cir.2003).

It is well-settled that a debtor is estopped from prosecuting claims that it failed to disclose as assets in its bankruptcy case. *See, e.g., Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir. 1993) (judicially estopping debtor from asserting monetary claims that it previously omitted in its Chapter 11 bankruptcy schedules); *Oneida Motor Freight, Inc. v. United Jersey Bank*, 848 F.2d 414, 415 (3d Cir. 1988) (affirming trial court's order dismissing claims that debtor failed to disclose in bankruptcy). In this instance, Complainants failed to disclose this case in their bankruptcy schedules. RPFF9. What is more, Complainants also failed to disclose the alleged assignment of this claim from Laufer upon which they base their standing to pursue reparations. RPFF9.

Such non-disclosure alone is sufficient for dismissal of these claims under judicial estoppel and offers further support for CMA's position that Complainants' claims lack merit, and the Complaint should be dismissed.

VI. CONCLUSION AND PRAYER FOR RELIEF

Complainants have missed FMC deadlines, lack standing, and have failed to meet their burden of proving the alleged Shipping Act violations. They have neither demonstrated, nor can they demonstrate, that CMA violated 46 U.S.C. § 41102(c) or § 41104(a)(10).

Therefore, CMA respectfully requests that the Commission dismiss the Complaint with prejudice, award CMA attorneys' fees pursuant to 46 CFR § 502.254, and grant any other appropriate relief.

Date: October 18, 2024

Respectfully submitted,

/s/ K. Barrett Luxhoj

W. Ryan Snow, Esquire (VSB 47423)
K. Barrett Luxhoj, Esquire (VSB 86302)
CRENSHAW, WARE & MARTIN, PLC
150 West Main Street, Suite 1923
Norfolk, Virginia 23510
Telephone: (757) 623-3000
wrsnow@cwm-law.com
kbluxhoj@cwm-law.com

B. Jason Barlow (VSB No. 80105)
C. Wiley Grandy (VSB No. 82154)
Chelsea C. Crews (La. Bar No. 38176)
1 CMA CGM Way
Norfolk, VA 23502
orf.jbarlow@cma-cgm.com
orf.wgrandy@cma-cgm.com
orf.ccrews@cma-cgm.com
Counsel for Respondent CMA CGM S.A.

CERTIFICATE OF SERVICE

I certify that on the 18th day of October 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

Timothy R. Herman
R. Kevin Williams
Clark Hill PLC
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
therman@clarkhill.com
kwilliams@clarkhill.com
Counsel for Complainants

/s/ K. Barrett Luxhoj

K. Barrett Luxhoj, Esquire